

2. The term or tenure or tenor or duration of the policy

This is the duration of the policy for which the policy is effective, unless it is short closed for non-payment of premiums or any other clause.

3. The premium amount

The amount of money that you pay on a regular basis that ensures that your life insurance policy continues to be in effect and continues to provide financial security to your family. Most people I know focus on the sum assured and compare various policies based on that, and finally select a policy based on the premium amount. The aspect that often gets ignored is the term of the policy.

Why you need life insurance?

Your loved ones should keep enjoying the quality of life they are used to even after you are not around. Whether it is the sum assured or the tenure of the policy, this rationale is something you should always keep in mind.

What should be the term of your policy?

You should think about the people who are financially dependent on you currently, and decide for how many years more they will remain dependent on you. You should also consider any other financial dependents that it may be necessary for you to have to support later, such as elderly parents, and decide for how many years they will need support.

For example, if you are 32 years old, have an earning spouse and a son who is 5 years old, you might need insurance only for 20 years – because by the time you turn 52, your son will be 25 years old, and should be financially self dependent.

If you are 25 years old and do not have a child, you might want to take that into consideration and purchase life insurance for a slightly longer